

CASH AMERICA INTERNATIONAL, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(in thousands, except share data)

	December 31,	
	2007	2006
Assets		
Current assets:		
Cash and cash equivalents	\$ 22,725	\$ 25,723
Pawn loans	137,319	127,384
Cash advances, net	88,148	79,975
Merchandise held for disposition, net	98,134	87,060
Finance and service charges receivable	26,963	25,377
Other receivables and prepaid expenses	16,292	16,128
Deferred tax assets	20,204	16,324
Total current assets	409,785	377,971
Property and equipment, net	161,676	119,261
Goodwill	306,221	238,499
Intangible assets, net	23,484	27,477
Other assets	3,478	13,036
Total assets	<u>\$ 904,644</u>	<u>\$ 776,244</u>
Liabilities and Stockholders' Equity		
Current liabilities:		
Accounts payable and accrued expenses	\$ 87,399	\$ 91,217
Customer deposits	7,856	7,464
Income taxes currently payable	3,755	2,691
Current portion of long-term debt	8,500	16,786
Total current liabilities	107,510	118,158
Deferred tax liabilities	18,584	12,770
Other liabilities	1,671	1,625
Long-term debt	280,277	202,963
Total liabilities	408,042	335,516
Commitments and contingencies (Note 10)		
Stockholders' equity:		
Common stock, \$.10 par value per share, 80,000,000 shares authorized, 30,235,164 shares issued	3,024	3,024
Additional paid-in capital	163,581	161,683
Retained earnings	363,180	287,962
Accumulated other comprehensive income	16	20
Notes receivable secured by common stock	—	(18)
Treasury shares, at cost (1,136,203 shares and 565,840 shares at December 31, 2007 and 2006, respectively)	(33,199)	(11,943)
Total stockholders' equity	496,602	440,728
Total liabilities and stockholders' equity	<u>\$ 904,644</u>	<u>\$ 776,244</u>

See notes to consolidated financial statements.

CASH AMERICA INTERNATIONAL, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share data)

	Year Ended December 31,		
	2007	2006	2005
Revenue			
Finance and service charges	\$ 160,960	\$ 149,472	\$ 139,772
Proceeds from disposition of merchandise	396,821	334,036	300,192
Cash advance fees	355,196	195,105	142,068
Check cashing fees, royalties and other	16,417	15,901	13,731
Total Revenue	929,394	694,514	595,763
Cost of Revenue			
Disposed merchandise	246,792	204,929	183,799
Net Revenue	682,602	489,585	411,964
Expenses			
Operations	304,480	247,707	221,996
Cash advance loss provision	155,238	59,563	42,834
Administration	57,250	50,984	43,005
Depreciation and amortization	32,125	27,312	23,417
Total Expenses	549,093	385,566	331,252
Income from Operations	133,509	104,019	80,712
Interest expense	(16,021)	(11,945)	(10,610)
Interest income	1,041	1,631	1,614
Foreign currency transaction (loss) gain	(24)	296	(834)
Gain from termination of contract	—	2,167	—
Gain on sale of foreign notes	6,260	—	—
Income from Continuing Operations before Income Taxes	124,765	96,168	70,882
Provision for income taxes	45,419	35,228	26,061
Income from Continuing Operations	79,346	60,940	44,821
Loss from disposal of discontinued operations before income tax benefit	—	—	(56)
Income tax benefit	—	—	253
Income from discontinued operations	—	—	197
Net Income	\$ 79,346	\$ 60,940	\$ 45,018
Earnings Per Share:			
Basic –			
Income from continuing operations	\$ 2.68	\$ 2.05	\$ 1.53
Income from discontinued operations	\$ —	\$ —	\$ 0.01
Net income	\$ 2.68	\$ 2.05	\$ 1.54
Diluted –			
Income from continuing operations	\$ 2.61	\$ 2.00	\$ 1.48
Income from discontinued operations	\$ —	\$ —	\$ 0.01
Net income	\$ 2.61	\$ 2.00	\$ 1.49
Weighted average common shares outstanding:			
Basic	29,643	29,676	29,326
Diluted	30,349	30,532	30,206
Dividends declared per common share	\$ 0.14	\$ 0.10	\$ 0.10

See notes to consolidated financial statements.

CASH AMERICA INTERNATIONAL, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands, except share data)

	Year Ended December 31,					
	2007		2006		2005	
	Shares	Amount	Shares	Amount	Shares	Amount
Common stock						
Balance at end of year.....	<u>30,235,164</u>	<u>\$ 3,024</u>	<u>30,235,164</u>	<u>\$ 3,024</u>	<u>30,235,164</u>	<u>\$ 3,024</u>
Additional paid-in capital						
Balance at beginning of year.....		161,683		156,557		154,294
Shares issued under stock-based plans		(2,015)		(2,765)		(445)
Stock-based compensation expense...		3,060		2,623		1,677
Excess tax benefit from stock-based compensation.....		<u>853</u>		<u>5,268</u>		<u>1,031</u>
Balance at end of year		<u>163,581</u>		<u>161,683</u>		<u>156,557</u>
Retained earnings						
Balance at beginning of year.....		287,962		229,975		187,860
Net income.....		79,346		60,940		45,018
Dividends declared.....		<u>(4,128)</u>		<u>(2,953)</u>		<u>(2,903)</u>
Balance at end of year		<u>363,180</u>		<u>287,962</u>		<u>229,975</u>
Accumulated other comprehensive income (loss)						
Balance at beginning of year.....		20		(5)		—
Unrealized derivatives (loss) gain.....		(20)		25		(5)
Foreign currency translation gain		<u>16</u>		<u>—</u>		<u>—</u>
Balance at end of year		<u>16</u>		<u>20</u>		<u>(5)</u>
Notes receivable secured by common stock						
Balance at beginning of year.....		(18)		(2,488)		(2,488)
Payments on notes receivable		<u>18</u>		<u>2,470</u>		<u>—</u>
Balance at end of year		<u>—</u>		<u>(18)</u>		<u>(2,488)</u>
Treasury shares at cost						
Balance at beginning of year.....	(565,840)	(11,943)	(999,347)	(12,347)	(938,386)	(8,754)
Purchases of treasury shares	(675,293)	(24,032)	(258,063)	(9,602)	(298,210)	(6,239)
Shares issued under stock-based plans	<u>104,930</u>	<u>2,776</u>	<u>691,570</u>	<u>10,006</u>	<u>237,249</u>	<u>2,646</u>
Balance at end of year	<u>(1,136,203)</u>	<u>(33,199)</u>	<u>(565,840)</u>	<u>(11,943)</u>	<u>(999,347)</u>	<u>(12,347)</u>
Total Stockholders' Equity		<u>\$ 496,602</u>		<u>\$ 440,728</u>		<u>\$ 374,716</u>

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(in thousands)

	Year Ended December 31,		
	2007	2006	2005
Net income	\$ 79,346	\$ 60,940	\$ 45,018
Other comprehensive loss –			
Unrealized derivative (loss) gain, net of tax expense (benefit) of \$(11), \$14 and \$(3)	(20)	25	(5)
Foreign currency translation gain, net of tax expense of \$9	<u>16</u>	<u>—</u>	<u>—</u>
Total Comprehensive Income.....	<u>\$ 79,342</u>	<u>\$ 60,965</u>	<u>\$ 45,013</u>

See notes to consolidated financial statements.

CASH AMERICA INTERNATIONAL, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)

	Year Ended December 31,		
	2007	2006	2005
Cash Flows from Operating Activities of Continuing Operations:			
Net income	\$ 79,346	\$ 60,940	\$ 45,018
Income from discontinued operations	—	—	(197)
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization.....	32,125	27,312	23,417
Cash advance loss provision.....	155,238	59,563	42,834
Stock-based compensation expense.....	3,060	2,623	1,677
Foreign currency transaction (gain) loss.....	24	(296)	834
Gain on termination of contract.....	—	(2,167)	—
Gain on sale of foreign notes	(6,260)	—	—
Changes in operating assets and liabilities –			
Merchandise held for disposition.....	1,765	7,128	12,499
Finance and service charges receivable.....	(2,305)	(4,579)	(1,861)
Other receivables and prepaid expenses	(2,216)	(4,981)	(3,191)
Accounts payable and accrued expenses	8,968	17,969	4,264
Customer deposits, net.....	328	696	461
Current income taxes, net	1,917	6,510	229
Excess income tax benefit from stock-based compensation.....	(853)	(5,268)	(1,031)
Deferred income taxes, net	1,936	(3,638)	(1,633)
Net cash provided by operating activities of continuing operations	273,073	161,812	123,320
Cash Flows from Investing Activities of Continuing Operations:			
Pawn loans made.....	(435,046)	(395,104)	(361,077)
Pawn loans repaid	218,920	210,177	202,015
Principal recovered on forfeited loans through dispositions	194,365	158,568	139,365
Cash advances made, assigned or purchased	(1,162,952)	(759,822)	(624,303)
Cash advances repaid.....	1,001,048	682,473	578,475
Acquisitions, net of cash acquired.....	(82,557)	(64,927)	(19,937)
Purchases of property and equipment	(70,097)	(46,355)	(27,255)
Proceeds from sale of foreign notes.....	16,589	—	—
Proceeds from insurance claims	1,416	1,934	530
Proceeds from disposition of assets and termination of contract	—	2,198	486
Net cash used by investing activities of continuing operations	(318,314)	(210,858)	(111,701)
Cash Flows from Financing Activities of Continuing Operations:			
Net borrowings (repayments) under bank line of credit.....	90,100	10,540	(21,346)
Issuance of long-term notes	—	60,000	40,000
Debt issuance costs paid.....	(282)	(261)	(1,328)
Payments on notes payable and other obligations.....	(21,072)	(16,786)	(19,286)
Payments on notes receivable secured by common stock	18	2,470	—
Proceeds from exercise of stock options	761	7,241	2,202
Excess income tax benefit from stock-based compensation	853	5,268	1,031
Treasury shares purchased	(24,032)	(9,602)	(6,240)
Dividends paid	(4,128)	(2,953)	(2,903)
Net cash provided (used) by financing activities of continuing operations	42,218	55,917	(7,870)
Effect of exchange rates on cash.....	25	—	—
Net (decrease) increase in cash and cash equivalents	(2,998)	6,871	3,749
Cash and cash equivalents at beginning of year	25,723	18,852	15,103
Cash and cash equivalents at end of year.....	\$ 22,725	\$ 25,723	\$ 18,852

See notes to consolidated financial statements.